

remind everyone, “I still think those are the three right words.”²⁴ The key lesson that Buffett took from Graham was: Successful investing involves purchasing stocks when their market price is at a significant discount to their underlying business value.

In addition to the margin of safety, which became the intellectual framework of Buffett’s thinking, Graham helped Buffett appreciate the folly of following stock market fluctuations. Stocks have an investment characteristic and a speculative characteristic, Graham believed, and the speculative characteristics are a consequence of human fear and greed. Those emotions, present in most investors, cause stock prices to gyrate far above and, more important, far below a company’s intrinsic value. Graham taught Buffett that if he could insulate himself from the emotional whirlwinds of the stock market, he had an opportunity to exploit the irrational behavior of other investors, who purchased stocks based on emotion, not logic.

From Graham, Buffett learned how to think independently. If you reach a logical conclusion based on sound judgment, Graham counseled Buffett, do not be dissuaded just because others disagree. “You are neither right or wrong because the crowd disagrees with you,” Graham wrote. “You are right because your data and reasoning are right.”²⁵

Phil Fisher was in many ways the exact opposite of Ben Graham. Fisher believed that, to make sound decisions, investors needed to become fully informed about a business. That meant investigating all aspects of the company. They had to look beyond the numbers and learn about the business itself, for the type of business it was mattered a great deal. They also needed to study the attributes of the company’s management, for management’s abilities could affect the value of the underlying business. They were urged to learn as much as they could about the industry in which the company operated, and about its competitors. Every source of information should be exploited. From Fisher, Buffett learned the value of scuttlebutt. Throughout the years, Buffett developed an extensive network of contacts who have been helpful in assisting him in evaluating different businesses.

Finally, Fisher taught Buffett not to overstress diversification. He believed that it was a mistake to teach investors that putting their eggs in several